



**Bureau of Experts at the Council of Ministers
Official Translation Department**

Law of the Profession of Accounting and Auditing

Royal Decree No. M/59
March 11, 2021

Translation of Saudi Laws

NOTES:

1. This translation is provided for guidance. The governing text is the Arabic text.
2. The translation of Saudi laws takes the following into consideration:
 - Words used in the singular form include the plural and vice versa.
 - Words used in the masculine form include the feminine.
 - Words used in the present tense include the present as well as the future.
 - The word “person” or “persons” and their related pronouns (he, his, him, they, their, them, and who) refer to a natural and legal person.
3. Amendments to this Law are provided in the Appendix.

For any comments or inquiries, please contact the Official Translation Department at:

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Law of the Profession of Accounting and Auditing

Article 1

In this Law, the following words and phrases shall have the meanings assigned thereto, unless the context requires otherwise:

Law: Law of the Profession of Accounting and Auditing.

Regulations: Implementing Regulations of the Law.

Ministry: Ministry of Commerce.

Minister: Minister of Commerce.

Organization: Saudi Organization for Chartered and Professional Accountants.

Board: Board of Directors of the Organization.

Profession: The profession of accounting and auditing.

License: A document issued by the Ministry which permits its holder to practice the profession in accordance with the conditions and controls specified in the Law and the Regulations.

Chartered Accountant: A natural or legal person licensed to practice the profession.

Committee: The committee for reviewing administrative and ethical violations in accordance with the provisions of the Law.

Article 2

No person may practice the profession without obtaining a license in accordance with the provisions of this Law.

Article 3

The conditions for granting a license shall be as follows:

1. If the applicant practices the profession on a full-time basis, he must:

- a) be a Saudi national;
- b) be fully competent;
- c) hold a bachelor's degree or higher in accounting or any relevant specialty according to the criteria specified in the Regulations;
- d) be a full member of the Organization and have at least one year of relevant experience; and
- e) be of good conduct and character and not have been convicted of a hadd offense or any other offense impinging on honor or integrity, unless his record has been expunged, nor dismissed from public service pursuant to a disciplinary decision, unless three years have lapsed from the date of the decision.



2. If the applicant practices the profession on a part-time basis, he may be granted a license subject to the controls specified in the Regulations, taking the following into consideration:
 - a) The conditions provided for in paragraph (1) of this Article.
 - b) Setting a maximum period for practicing the profession on a part-time basis.
 - c) Increasing the percentage of supervisory hours required of the licensee for each client and setting a maximum for the total hours per year.
 - d) Not providing audit services to high-risk companies.

Article 4

1. A license application shall be filed with the Organization in accordance with the procedures specified by the Board. The Organization shall, upon verifying fulfillment of the conditions provided for in Article 3 of this Law, submit to the Ministry its recommendation regarding the application within the period specified in the Regulations.
2. The Ministry shall issue a decision on the license application within the period specified in the Regulations. If the application is rejected, the rejection must be reasoned; the applicant may appeal the rejection decision before the administrative court.
3. The Regulations shall specify the procedures for reviewing and deciding on license applications as well as the fee, term, and renewal conditions of the license.

Article 5

Without prejudice to the penalties provided for in Article 10 of this Law, the Ministry may issue a decision to revoke the license upon a recommendation by the Organization. A licensee against whom a license revocation decision is issued may appeal such decision before the administrative court. Revocation of the license shall not, however, result in cancellation of membership with the Organization.

Article 6

A chartered accountant must have a main office to practice the profession and he may open branches. He must notify the Organization of the address of his main office and branches, if any, and of any change thereto within a period not exceeding 14 days from the date of the change. All notices delivered to the primary address registered with the Organization shall be deemed valid.

Article 7

A chartered accountant shall:

1. sign and certify reports issued by him; if the report is issued by a professional company, it shall be signed and certified by the partner who participated in preparing the report or supervised its preparation;
2. use his personal name as the name of his main office; he may, however, use any other name, provided that it is coupled with his personal name. He shall include his name and license number in his correspondence and documents as well as in any reports and statements issued thereby, and he shall display a copy of the license conspicuously in his office;
3. provide the Organization with any required information on his activity, as specified in the Regulations;



4. comply with the profession's rules and code of ethics and conduct as well as with accounting and auditing standards and technical standards approved by the Board;
5. keep work-related documents and copies of reports and financial statements for a period of not less than 10 years from the date of issuance of his report on each audited fiscal year, in accordance with the controls specified in the Regulations;
6. provide the Organization, upon request, with reports and audited financial statements using the means it deems appropriate;
7. hire a specific percentage of Saudi nationals in accounting and auditing jobs in accordance with the Regulations and in line with the Labor Law and relevant decisions; and
8. comply with the percentage of supervisory hours specified in the Regulations for each audit for which a report is issued.

Article 8

A chartered accountant may not:

1. audit the accounts of companies or institutions in which he has a direct or indirect interest, subject to the Regulations;
2. exceed the maximum number of listed joint-stock companies, as determined by the Capital Market Authority, or unlisted joint-stock companies, as determined by the Board, he may audit annually;
3. disclose any information related to his clients to which he becomes privy during his work, or use such information for his own benefit, except with the express consent of the client or upon a request from the competent government agencies; and
4. audit the accounts of joint-stock companies, banks, and public agencies and institutions prior to the lapse of five years from the date of obtaining the license.

Article 9

1. A chartered accountant who, for any reason, ceases to or is suspended from practicing the profession, whether temporarily or permanently, must notify the Organization and his clients within 30 days from the date of cessation or suspension. If the suspension is permanent or if the cessation period exceeds two years, the license shall be deemed revoked.
2. If a chartered accountant is permanently suspended from practicing the profession or if he ceases to do so for a period that negatively affects his clients or others, the accountant, or his representative, must notify the Organization of all his rights and obligations as well as any pending activities in order to address the same in accordance with the procedures specified in the Regulations.



Article 10

1. Without prejudice to any penalty provided for in any other law, any person who commits one or more of the following offenses shall be subject to imprisonment for a term not exceeding five years and a fine not exceeding two million riyals, or to either penalty:
 - a) Providing false information or forged certificates to obtain a license.
 - b) Leading the public to believe that he has the right to practice the profession despite being unlicensed, his license being revoked, having ceased to practice the profession, or being suspended from practicing the profession.
 - c) Knowingly providing false information or concealing information which should be disclosed in any report, account, or document.
 - d) Certifying false reports or documents which include false facts the issuance of which is legally or professionally required.
 - e) Certifying the distribution of fictitious profits.
 - f) Disclosing a client's confidential information.
 - g) Certifying and signing financial reports which have not been audited by him or by an accountant working under his supervision.
 - h) Providing or aiding in the provision of false information relating to the qualifications of his employees and their experience in the field of accounting and auditing or other fields required by the profession.
2. The court may include in the penalty decision a provision to publish its summary at the expense of the convicted person in one or more newspapers published in his area of residence, or, if no newspaper is published in his area of residence, in the area nearest to his residence, or through any other appropriate medium, based on the type, gravity, and impact of the offense, provided that publication is made after the judgment becomes final.

Article 11

The Public Prosecution shall investigate the offenses provided for in Article 10 of this Law and may file a criminal suit before the competent court.

Article 12

The competent judicial body shall consider compensation claims and civil suits arising from the application of this Law which are filed by or against a chartered accountant.



Article 13

1. A committee, or more, shall be formed pursuant to a decision by the Minister comprising four members, including two specialists in the profession and two legal advisors; one of the advisors shall be the chairman of the committee. The committee shall review the violations provided for in Article 14 of this Law.
2. The committee's work rules and procedures and the remuneration of its chairman, members, and secretary shall be determined pursuant to a decision by the Minister. The remuneration shall be paid from the Organization's budget.
3. Without prejudice to relevant laws, any person against whom a penalty decision is issued may appeal such decision before the administrative court.
4. Imposition of the penalties provided for in this Law shall not prejudice the right of recourse against the person causing the harm.

Article 14

The committee shall, upon a referral from the relevant department at the Organization, review the following violations:

1. Violations of the provisions of this Law or the Regulations, or the decisions issued in implementation thereof.
2. Violations of the profession's rules and code of ethics and conduct as well as the professional and technical standards.

Article 15

1. Without prejudice to any penalty provided for in any other law, a chartered accountant who commits any of the violations provided for in Article 14 of this Law shall be subject to one or more of the following penalties:
 - a) Warning.
 - b) Reprimand.
 - c) Cancellation of membership with the Organization.
 - d) A fine of not less than ten thousand riyals and not more than five hundred thousand riyals.
 - e) Suspension from practicing the profession for a period not exceeding one year.
2. If the same violation is repeated within three years from the date it was first committed, the committee may double the imposed fine, and it may revoke the violator's license if he is suspended from practicing the profession more than twice or if he is suspended from practicing the profession for two years or more within a five-year period, provided that the imposed penalty is commensurate with the violation.



Article 16

The committee may, in addition to the penalties provided for in Article 15 of this Law, take corrective measures against the violating chartered accountant, including the following:

1. Compelling him to attend specific training courses.
2. Limiting the number and type of clients he may have and the services he may provide for a period of not less than one year and not more than two years.
3. Requiring him to submit a plan specifying the measures he shall take to rectify the violation to ensure it is not repeated. The Organization shall carry out an independent examination of the work he performs during the rectification period.

Article 17

The committee may, while the violation is under review and upon the Organization's request, decide—as a precautionary measure—to prevent the violating chartered accountant from certifying his client's financial statements and require him to disclose all his clients.

Article 18

The committee may summon the violator to hear his statement. If the violation is committed together with any of the offenses provided for in Article 10 of this Law, the committee shall refer it to the Public Prosecution for investigation.

Article 19

A chartered accountant whose license is revoked under this Law may request reinstatement of the license after the lapse of five years from the date the revocation decision becomes effective. The Minister, or his designee, shall decide on the request. In such case, the conditions and procedures for the issuance of a license shall apply.

Article 20

Without prejudice to the powers of relevant agencies, employees of the Organization appointed pursuant to a decision by the Minister shall detect and record the offenses provided for in Article 10 of this Law as well as any violation of the provisions of this Law and the Regulations and the decisions issued in implementation thereof.

Article 21

This Law shall supersede the Law of Certified Public Accountants issued by Royal Decree No. M/12, dated 13/5/1412H, and shall repeal any provisions conflicting therewith.

Article 22

This Law shall enter into force 90 days following the date of its publication in the Official Gazette. The Minister shall issue the Regulations and the decisions necessary for its implementation within 90 days from its publication date, and they shall become effective on the date this Law enters into force.



Appendix

Amendments

February 9, 2025 (Sha'ban 10, 1446H)

Royal Decree No. M/169 provides for the following:

- Deleting the definition of "Ministry" mentioned in Article 1.
- Amending the definition of "License" mentioned in Article 1 to read as follows:
"License: A document issued by the Organization which permits its holder to practice the profession in accordance with the conditions and controls specified in the Law and the Regulations".
- Amending Article 4 to read as follows:
"1. A license application shall be filed with the Organization in accordance with the procedures specified by the Board.
2. The Organization shall, within the period specified in the Regulations, issue a decision to approve the issuance of the license or to reject the license application; in case of rejection, the decision must be reasoned. The applicant may appeal the rejection decision before the administrative court.
3. The Regulations shall specify the procedures for reviewing and deciding on license applications as well as the term and renewal conditions of the license.
4. The Board shall determine the license fee".
- Amending Article 5 to read as follows:
"Without prejudice to the penalties provided for in Article 10 of this Law, the Organization may issue a decision to revoke the license. A licensee against whom a license revocation decision is issued may appeal such decision before the administrative court. Revocation of the license shall not, however, result in cancellation of membership with the Organization".
- Amending Article 19 to read as follows:
"A chartered accountant whose license is revoked under this Law may request reinstatement of the license after the lapse of five years from the date the revocation decision becomes effective. The Board, or its designee, shall decide on the request. In such case, the conditions and procedures for the issuance of a license shall apply".
- Amending Article 20 to read as follows:
"Without prejudice to the powers of relevant agencies, employees of the Organization appointed pursuant to a decision by the Board shall detect and record the offenses provided for in Article 10 of this Law as well as any violation of the provisions of this Law and the Regulations and the decisions issued in implementation thereof".



October 14, 2025 (Rabi' II 22, 1447H)

Council of Ministers Resolution No. 283 provides for the following:

- Amending the definition of "Minister" mentioned in Article 1 to read as follows:

"Minister: A minister, who is a member of the Council of Ministers, to be appointed pursuant to an order by the Prime Minister upon a recommendation by the Council of Economic and Development Affairs".